LiveOakBank®

PRE-QUALIFICATION

DEDICATED TO THE DOERS®

June 2, 2025

Prakash & Veena Somashekar
1601 Birds Fort Trail
Arlington, TX 76005

Dear Prakash and Veena,

I have reviewed certain documents from you ("Buyer") which include: a personal financial statement, SBA eligibility applications, management resume and 3 years of personal tax returns. Based off my experience and initial analysis, I believe that you would qualify for financing under the SBA 7(a) program for a total purchase price of $3,000,000-$3,200,000. The proposed structure would be based on a term and amortization of 10 years with equity injection meeting Live Oak Bank's and the SBA requirements.

Key Assumptions:

- The transition plan to adequately explain the transfer of the company to Buyer includes discussion around assignment of existing contracts, any concentrations, target amount of inventory and net or needed working capital, amount of time seller will consult with the company and seller's day-to-day responsibilities.
- Details from Buyer around how they plan to manage day-to-day activities of the acquired business. To include details around new lease, mortgage expense, timing, etc.
- Understanding of any vendor or customer concentrations more than 20% for one single customer/ vendor or combination of two more than 30%.
- Buyer injection of 10% of the total project cost. If Seller-carry note is a portion of the 10% equity requirement, then seller note cannot exceed half of the requirement and must be on full standby for the life of the loan (interest may accrue, but no interest or principal payments during life of SBA loan.
- If Seller note, after Buyers 10% equity injection, monthly interest & Principal payments with annual principal reduction based on debt service coverage covenant of 1.50:1. Minimum 10-year amortization Could also use an EBITDA number if going that route.
- Delivery of last 3 years tax returns, matching provided company prepared financials/ Broker provided financials, and verification of any non-standard addbacks to adjusted EBITDA from seller as a condition of closing if an approval is provided.
- Additional information as to how the ongoing amount of Cap Ex was determined.
- No material change to monthly lease expense or NNN and the ability to have new owner execute a lease matching the term of the SBA loan.
- Additional collateral, such as junior liens on personal/ commercial real estate as required per SBA guidelines.
- 2 years of detailed P&L projections to confirm the adequacy of working capital and capital expenditures required as part of structure.
- 3rd Party valuation to meet agreed upon purchase price
- Requirement that the project be approved under the US Small Business Administration program through Live Oak Bank's Preferred Lender Status

To proceed with an application or for any questions, please call me at 469-441-8851 or e-mail me at Brei.Silvia@liveoak.bank. Live Oak Bank formal credit decisions are generally made within 10 business days from receipt of a complete application and all requested information. Live Oak Bank is a Preferred Lender under the US A 7(a) program and is dedicated to the customer experience.

Sincerely,

Brei Silvia
Senior M&A Loan Officer
Live Oak Bank

This loan pre-qualification is for discussion purposes only and not a commitment to lend. Loan approval is subject to Live Oak Bank lending's full underwriting process.

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